Research question

If a tenant has a 1-year lease with 6 months remaining when the premises are foreclosed, may the tenant finish the 6 months on the lease or can the new owner evict the tenant after serving a 60-day notice?

Washington

Summary

In Washington State, a tenant with 6 months remaining on a 1-year lease cannot continue the full lease term when the premises are foreclosed. The new owner has discretionary authority to either offer a new rental agreement or provide written notice to vacate with at least 60 days' advance notice. Under Washington Revised Code Section 61.24.146, tenants in possession of residential property at the time of foreclosure sale must receive 60 days' written notice before they can be removed, regardless of their remaining lease term, except when the borrower or grantor remains on the property as a tenant, subtenant, or occupant WA ST 61.24.146. The foreclosure purchaser is not bound by the existing lease and may terminate the tenancy by serving the required 60-day notice under RCW 61.24.146 WA ST 61.24.060.

Washington State Foreclosure Tenant Protection Framework

Washington State provides specific statutory protections for tenants during foreclosure proceedings through the Deed of Trust Act, which governs non-judicial foreclosures. RCW 61.24.146 establishes that "a tenant or subtenant in possession of a residential real property at the time the property is sold in foreclosure must be given sixty days' written notice to vacate before the tenant or subtenant may be removed from the property" WA ST 61.24.146. This protection applies to residential tenants regardless of lease type, term length, or remaining duration, except when the borrower or grantor remains on the property as a tenant, subtenant, or occupant under RCW 61.24.146(3).

The statute creates a mandatory minimum notice period but does not preserve existing lease rights beyond the foreclosure sale. RCW 61.24.146 further provides that the statute "does not prohibit the new owner of a property purchased pursuant to a trustee's sale from negotiating a new purchase or rental agreement with a tenant or subtenant" WA ST 61.24.146. This language confirms that the new owner has complete discretion to determine whether to continue any rental relationship and on what terms.

RCW 61.24.060 operationalizes the protections established in RCW 61.24.146 by requiring that purchasers at foreclosure sales provide written notice to tenants stating that, pursuant to RCW 61.24.146, "the purchaser at the trustee's sale may either give you a new rental agreement OR give you a written notice to vacate the property in sixty days or more before the end of the monthly rental period" WA ST 61.24.060. The conjunction "OR" makes clear that new owners have two distinct options and are not required to honor existing lease terms.

Historical Context and Lease Survival Doctrine

Washington case law provides important historical context regarding lease survival after foreclosure. In *Virges v. E.F. Gregory Co.*, the Washington Supreme Court addressed whether a foreclosure sale terminated an existing lease during the redemption period Virges v. E.F. Gregory Co., 97 Wash. 333 (1917). The court held that "the tenancy of appellant under its lease was not terminated by the mere sale of the property to respondent" and that existing lease terms continued during the redemption period Virges v. E.F. Gregory Co., 97 Wash. 333 (1917). The court explained that "these redemption statutory provisions preserve a tenancy such as is here involved, at least until the purchaser at an execution sale may, by virtue of his title paramount, acquired at the end of the redemption period, be enabled to evict the tenant" Virges v. E.F. Gregory Co., 97 Wash. 333 (1917).

However, this precedent has limited application to modern foreclosure proceedings. The *Virges* decision addressed judicial foreclosures with redemption periods under former statutes, while Washington's current deed of trust foreclosures under RCW 61.24 proceed non-judicially without redemption rights. The modern statutory framework in RCW 61.24.146 supersedes common law lease survival doctrines by establishing specific procedures and timeframes for tenant removal after foreclosure sales.

Distinction Between Lease Types and Notice Requirements

Washington's landlord-tenant statutes distinguish between different types of tenancies for notice purposes, but these distinctions do not affect foreclosure proceedings. Under RCW 59.12.030, fixed-term leases normally "shall end without notice at the expiration of the specified term or period" WA ST 59.12.030. Conversely, periodic tenancies require advance notice for termination under RCW 59.18.200, with 20-day minimum notice for month-to-month tenancies WA ST 59.18.200.

However, foreclosure proceedings override these normal termination procedures. RCW 61.24.146's 60-day notice requirement applies to "a tenant or subtenant in possession of a residential real property" without regard to lease type, except when the borrower or grantor remains on the property as a tenant, subtenant, or occupant WA ST 61.24.146. This creates a special statutory scheme for foreclosed properties that displaces normal landlord-tenant notice requirements.

The application of the 60-day notice period with its limited exception represents a legislative policy choice to provide protections while allowing new owners flexibility in property management. Unlike standard lease terminations, which depend on lease terms and tenancy type, foreclosure terminations follow the streamlined procedure in RCW 61.24.146 regardless of the tenant's original lease agreement.

Security Deposit Obligations During Foreclosure

Washington law addresses the practical complications arising when rental properties change ownership through foreclosure. RCW 59.18.270 requires that "if, during the tenancy, the tenant's dwelling unit is foreclosed upon and the tenant's deposit is not transferred to the successor after the foreclosure sale or other transfer of the property from the foreclosed-upon owner to a successor, the foreclosed-upon owner shall promptly refund the full deposit to the tenant immediately after the foreclosure sale or transfer" WA ST 59.18.270.

If the original landlord fails to either transfer the deposit or refund it immediately, "the foreclosed-upon owner is liable to the tenant for damages up to two times the amount of the deposit" WA ST 59.18.270. This provision protects tenants from losing security deposits during ownership transitions while creating significant financial incentives for proper deposit handling by foreclosed landlords.

Practical Implications

Based on the research conducted, several practical implications emerge for tenants facing foreclosure of their rental properties in Washington State. Tenants receive only 60 days' written notice before they can be removed from foreclosed property, regardless of their remaining lease term (subject to the exception for borrowers/grantors who remain as tenants). This is significantly shorter than standard lease protections. The foreclosure purchaser has discretionary authority to either offer a new rental agreement or provide the 60-day notice to vacate. Tenants have no right to demand lease continuation.

When property is foreclosed, the original landlord must either transfer the security deposit to the new owner or immediately refund it to the tenant. If neither occurs, the foreclosed landlord faces liability up to twice the deposit amount. Tenants with substantial remaining lease terms should prepare contingency plans for potential early termination, as foreclosure effectively overrides existing lease agreements in favor of the purchaser's preferences. The 60-day notice period begins after the foreclosure sale is completed, not when foreclosure proceedings commence, potentially giving tenants little advance warning to secure alternative housing.

Recent Developments

The most significant recent development affecting tenant rights during foreclosure was the expiration of the federal Protecting Tenants at Foreclosure Act on December 31, 2014 Legal update: archive, Lenders Benefit as Protecting Tenants at Foreclosure Act Lapses. This Act previously provided stronger protections, allowing bona fide tenants to remain in possession through the end of their lease terms or receive 90 days' notice to vacate. Since its expiration, tenants must rely solely on state law protections, which in Washington provide only 60 days' notice under RCW 61.24.146. Congressional attempts to permanently extend the Act in 2013 (H.R. 3543 and S. 1761) failed to gain sufficient support, leaving tenants with reduced federal protections Legal update: archive, Lenders Benefit as Protecting Tenants at Foreclosure Act Lapses. This change represents a significant reduction in tenant rights during foreclosure proceedings nationwide, including in Washington State.

Related Issues

- **Security Deposit Recovery**: Determining responsibility for returning tenant security deposits when property ownership transfers through foreclosure, including potential double liability for foreclosed landlords under RCW 59.18.270.
- **Subordination, Non-Disturbance and Attornment Agreements (SNDAs)**: Commercial tenant protections negotiated with lenders to preserve lease rights through foreclosure, particularly important for valuable long-term leases.
- **Unlawful Detainer Actions**: Post-foreclosure eviction proceedings that new owners must follow to remove tenants, including proper notice requirements and procedural compliance.
- **Public Housing and HUD-Assisted Properties**: Special federal regulations governing foreclosure and tenant rights in government-subsidized housing that may provide additional protections beyond state law.

Commentary on This Question

When a leased premises is sold through foreclosure, tenant protections vary, but under federal law, the Protecting Tenants at Foreclosure Act (PTFA) generally allows tenants to continue occupancy until the end of their lease term, barring bona fide third-party sale or specific just cause for eviction. This federal protection preempts less favorable state laws and requires that foreclosing owners serve notices with at least 90 days before eviction, allowing tenants to remain for the remainder of their lease term unless other statutory exceptions apply. Courts interpret tenants who continue possession after lease expiration without landlord consent as holdover tenants or tenants at sufferance, subject to landlord election to treat such occupation either as acceptance for a new tenancy or as trespass, allowing eviction without further notice in many jurisdictions.

Washington state is governed by the Residential Landlord-Tenant Act (RLTA), which includes procedural eviction requirements such as proper notice and prohibits self-help evictions. While no state-specific secondary sources here address foreclosures directly, general principles affirm that new property owners post-foreclosure must provide proper notice, and tenants cannot be summarily evicted mid-lease without adherence to eviction statutes, including the provision of statutory notice periods (typically 20-60 days depending on lease terms). The RLTA and related case law support that tenants generally may remain through their lease term, with lawful eviction requiring appropriate notice and court process. Retaliatory eviction defenses may be available. Thus, the interplay of federal protections and Washington eviction statutes shapes tenants' occupancy rights post-foreclosure RELAWDIG § 3:96, 44 COA2d 447, 68 AMJUR POF 3d 1.

Current Awareness

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Sources (13)

1. **61.24.146. Foreclosure of tenant-occupied property--Notice to vacate**
   WA ST 61.24.146

   AI document summary
   Establishing that tenants in foreclosed residential property must receive 60 days' written notice to vacate before removal, with exception for borrowers/grantors who remain as tenants

   Supporting section 1 of 3
   ...(3) This section does not apply if the borrower or grantor remains on the property as a tenant, subtenant, or occupant....

Supporting section 2 of 3
...(1) A tenant or subtenant in possession of a residential real property at the time the property is sold in foreclosure must be given sixty days' written notice to vacate before the tenant or subtenant may be removed from the property as prescribed in chapter 59.12 RCW....

Supporting section 3 of 3
...(2) This section does not prohibit the new owner of a property purchased pursuant to a trustee's sale from negotiating a new purchase or rental agreement with a tenant or subtenant....

2. **61.24.060. Rights and remedies of trustee's sale purchaser--Written notice to occupants or tenants**
WA ST 61.24.060

AI document summary
Requiring purchasers at foreclosure sales to provide written notice of tenant options under RCW 61.24.146, including new rental agreements or 60-day notice to vacate

Supporting section 1 of 1
...2. If you are a tenant or subtenant in possession of the property that was purchased, pursuant to RCW 61.24.146, the purchaser at the trustee's sale may either give you a new rental agreement OR give you a written notice to vacate the property in sixty days or more before the end of the monthly rental period."...

3. **Virges v. E.F. Gregory Co.**
Supreme Court of Washington. • July 21, 1917 • 97 Wash. 333 • 166 P. 610

AI document summary
Holding that foreclosure sales do not automatically terminate existing leases during redemption periods under former statutory schemes

Supporting section 1 of 2
...These considerations it seems to us all but conclusively argue that the tenancy of appellant under its lease was not terminated by the mere sale of the property to respondent on July 1, 1916....

Supporting section 2 of 2
...It seems to us that these redemption statutory provisions preserve a tenancy such as is here involved, at least until the purchaser at an execution sale may, by virtue of his title paramount, acquired at the end of the redemption period, be enabled to evict the tenant....

4. 59.12.030. Unlawful detainer defined

WA ST 59.12.030

AI document summary
Defining unlawful detainer and establishing that fixed-term leases end without notice at expiration of specified terms

Supporting section 1 of 1
...Except as limited under RCW 59.18.650 relating to tenancies under chapter 59.18 RCW, a tenant of real property for a term less than life is liable for unlawful detainer either: (1) When he or she holds over or continues in possession, in person or by subtenant, of the property or any part thereof after the expiration of the term for which it is let to him or her. When real property is leased for a specified term or period by express or implied contract, whether written or oral, the tenancy shall end without notice at the expiration of the specified

5. 59.18.200. Tenancy from month to month or for rental period--End of tenancy--Armed forces exception--Exclusion of children--Conversion to condominium--Demolition, substantial rehabilitation of the premises--Notice (Effective until January 1, 2028)

WA ST 59.18.200

AI document summary
Setting forth notice requirements for terminating month-to-month and periodic tenancies under the Residential Landlord-Tenant Act

6. 59.18.270. Moneys paid as deposit or security for performance by tenant--Deposit by landlord in trust account--Receipt--Remedies under foreclosure--Claims

WA ST 59.18.270

AI document summary
Governing security deposit obligations during foreclosure and establishing liability for foreclosed landlords who fail to transfer or refund deposits

Supporting section 1 of 1
...All moneys paid to the landlord by the tenant as a deposit as security for performance of the tenant's obligations in a lease or rental agreement shall promptly be deposited by the landlord in a trust account, maintained by the landlord for the purpose of holding such security deposits for tenants of the landlord, in a financial institution as defined by *RCW 30.22.041 or licensed escrow agent located in

Washington. Unless otherwise agreed in writing, the landlord shall be entitled to receipt of interest paid on such trust account deposits.

7. [Lenders Benefit as Protecting Tenants at Foreclosure Act Lapses]

Legal Update • Published on 03-Apr-2015 • National/Federal

AI document summary
Explaining the expiration of federal tenant protections and resulting reliance on state law

8. [§ 3:96. Tenant's defenses]

Out of plan

Real Estate Law Digest, Fourth Edition • RELAWDIG § 3:96

Supporting section 1 of 1
...Massachusetts. The Federal National Mortgage Association (Fannie Mae) became the owner of the property located at 16–18 Hampden Street, unit 18, in the Indian Orchard section of Springfield, Massachusetts at a foreclosure sale on November 30, 2009. On January 11, 2010, Fannie Mae served the tenants in the property with a 90-day notice to quit, as required by the Federal Protecting Tenants at Foreclosure Act, Pub. L. No. 111-22, §§ 701 to 704, 123 Stat. 1660 (2009). The notice did not state any cause for termination of the tenancy, and Fannie

9. [Cause of Action by Residential Landlord to Evict Tenants or Other Occupants]

Out of plan

Causes of Action Second Series • 44 COA2d 447

Supporting section 1 of 1
...Moreover, a landlord may waive the right to evict a tenant based on violations of the lease or the landlord's rules and regulations. If the landlord accepts rent from a tenant with knowledge of a prior lease violation, the landlord may waive the right to evict the tenant based on that violation. In Commonwealth Real Estate Services v. Padilla, 149 Wash. App. 757, 205 P.3 d 937 (Div. 3 2009), for example, the landlord accepted rent from a mobile home park tenant after serving the tenant with the third notice to comply with mobile home park rules

10. [Landlord's Recovery of Damages for Tenant's Wrongful Holding Over of Leased Premises]

Out of plan

American Jurisprudence Proof of Facts 3d • 68 AMJUR POF 3d 1

Supporting section 1 of 1
...Pursuant to a covenant express or implied in all leases, a tenant is under a duty to surrender possession of the premises to the landlord upon the expiration or termination of the lease.[1] A tenant's failure or refusal to give up possession at the end of the lease term constitutes a holding over.[2] The length of time of holding over and the intention of the tenant are generally irrelevant.[3] A tenant, who remains in possession of the premises without consent of the landlord after the termination of his lease, holds the property without the

Additional sources

These sources are not cited in your report, but can provide context that may be helpful.

11. Residential Foreclosures (Nonjudicial) (WA)
Practice Note • Law stated as of 31-Dec-2025 • Washington

Practical Law resource summary
A Practice Note discussing the procedures and primary considerations for conducting a nonjudicial foreclosure of a deed of trust secured by residential real property in Washington. This Note also addresses statutory loss mitigation and mediation requirements, appointing a receiver, the borrower's right to reinstate the loan, and tenant notice obligations under Washington law.

12. Residential Foreclosure (Judicial) Checklist (WA)
Checklist • Law stated as of 30-May-2025 • Washington

Practical Law resource summary
A Checklist outlining important steps for a lender when preparing for and conducting a judicial foreclosure of a mortgage or deed of trust secured by residential real property in Washington. This Checklist reviews pre-foreclosure requirements and considerations and covers the judicial residential foreclosure process from filing a complaint to obtaining a deficiency judgment.

13. Commercial Foreclosure (Nonjudicial) Checklist (WA)
Checklist • Law stated as of 29-May-2025 • Washington

Practical Law resource summary
A Checklist outlining important steps for a lender and trustee when preparing for and conducting a nonjudicial foreclosure of a deed of trust secured by commercial real property in Washington. This Checklist reviews pre-foreclosure considerations and covers the nonjudicial commercial foreclosure process from sending the statutory notice of default to obtaining a deficiency judgment.

Research Steps

- ✓ Researching Washington state statutory provisions governing tenant rights during foreclosure proceedings, specifically examining RCW 59.18 (Residential Landlord-Tenant Act) and RCW 61.24 (Deed of Trust Act) for protections afforded to existing tenants with unexpired leases
  - o Found key statutory provisions - RCW 61.24.146 requires 60-day notice to vacate for tenants after foreclosure sale; RCW 61.24.060 gives new owner option to provide new rental agreement or 60+ day notice; RCW 59.18.270 addresses security deposit issues during foreclosure
- ✓ Analyzing Washington case law interpreting tenant lease continuation rights following foreclosure sales, focusing on whether existing leases survive foreclosure and under what circumstances new owners may terminate tenancy
  - o Found important precedent in Virges v. E.F. Gregory Co. (1917) establishing that foreclosure sales don't automatically terminate existing leases during redemption period; modern cases focus more on landlord lien foreclosures and general tenant rights rather than property foreclosure lease survival
- ✓ Examining Washington statutory notice requirements for termination of month-to-month versus fixed-term tenancies, specifically reviewing RCW 59.18.200 and related provisions to determine if 60-day notice procedures apply to tenants with unexpired lease terms
  - o Found that RCW 59.12.030 establishes that fixed-term leases end "without notice at expiration of the specified term" while RCW 59.18.200 provides 20-day notice requirements only for periodic tenancies; however, RCW 59.18.650 creates special notice requirements for fixed-term lease termination in certain circumstances
- ✓ Researching federal Protecting Tenants at Foreclosure Act provisions as applied in Washington state courts, analyzing how federal tenant protections interact with Washington state landlord-tenant law for foreclosed properties
  - o Found that the federal Protecting Tenants at Foreclosure Act expired on December 31, 2014, eliminating federal tenant protections that previously allowed bona fide tenants to remain through lease terms or receive 90-day notice; Washington state law now governs exclusively with 60-day notice

requirement under RCW 61.24.146

Questions for further research

1. **What type of foreclosure proceeding is involved (judicial foreclosure, non-judicial deed of trust foreclosure, or other type)?**
2. **Has the foreclosure sale already been completed, or are you asking about rights during pending foreclosure proceedings?**
3. **Is this a residential property subject to Washington's Residential Landlord-Tenant Act, or does it involve commercial or other non-residential property?**
4. **Did you receive any written notice from the new owner, and if so, what did it say regarding your tenancy?**
5. **When you refer to a "1-year lease," is this a fixed-term lease with a specific end date, or a month-to-month arrangement that has continued for approximately one year?**

